

JPMorgan Chase & Co. (NYSE: JPM)

Positioned to Compound in a Higher-for-Longer Economy

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Investment Thesis

We recommend purchase of JPMorgan Chase at the May 29, 2026 close of \$299.31, with a 12-month price target of \$342 derived from our dividend growth model — approximately 14.1% price upside and a total expected return near 14% including the ~2.1% forward dividend yield.

JPM is the most diversified earnings engine in U.S. banking, and our macro outlook favors exactly that profile. ACCM's economic model calls for nominal GDP growth of ~5.2%, inflation of ~3.4%, and a 10-year Treasury near 4.9% — a higher-for-longer scenario in which loan demand, card spend, deposit balances, payments volumes, and net interest income all remain well supported. First-quarter 2026 results confirmed the franchise's momentum: net income of \$16.5B (EPS \$5.94, +17% y/y), record Markets revenue of \$11.6B, and investment banking fees up 28%.

JPM is also a prime indirect beneficiary of the AI and data-center buildout, financing the capex cycle through corporate lending, bond underwriting, project finance, advisory, treasury services, and risk management — fee streams that grow with capital formation regardless of which AI platform wins.

The stock trades ~11% below its January 52-week high of \$334.61 after a pullback driven by 2026 expense guidance and a modest NII guide-down to ~\$103B. At 13.4x FY2026E EPS with a ~17% ROE, a fortress balance sheet, and rising capital returns, we view the reset as an attractive entry point. Rating: BUY.

Price Performance (TTM)



Source: Yahoo Finance daily closes, 5/23/25–5/29/26.

Key Statistics	
Rating	BUY
Sector	Financials – Banks
Ticker	JPM
Purchase Price (5/29/26)	\$299.31
12-Month Price Target	\$335
Upside	+12.1%
Market Cap (mm)	\$807,021
52-Week High	\$334.61
52-Week Low	\$260.71
P/E (FY26E)	13.4x
P/E (FY25, Adj.)	14.9x
Dividend Yield (FY26E)	2.1%
FY25 ROE	16.7%
Book Value / Share	\$126.99
Beta	0.99

Company Description

JPMorgan Chase & Co. is the largest U.S. bank, with \$4.42 trillion in assets, \$2.56 trillion in deposits, and \$1.49 trillion in loans at year-end 2025, serving customers in over 100 markets. The firm operates through three reportable segments plus a Corporate segment. Consumer & Community Banking (CCB) spans consumer deposits, the #1 U.S. credit card franchise (\$248B of card loans), home lending, auto, and Chase branch and digital banking; in 1Q26 CCB earned \$5.0B of net income at a 32% ROE. The Commercial & Investment Bank (CIB) combines global investment banking, markets, securities services, payments, and commercial banking; it produced \$9.0B of net income at a 21% ROE in 1Q26, ranking #1 in global IB fees with record Markets revenue. Asset & Wealth Management (AWM) oversees \$4.8 trillion of AUM across institutional, private bank, and retail channels, and grew net income 12% year-over-year in 1Q26.

Revenue is well balanced between spread and fee businesses: of FY2025 net revenue of \$182.5B, roughly \$95.4B was net interest income and \$87.1B noninterest income (trading, IB fees, asset management fees, card and payments fees). This mix is the core of the investment case — JPM monetizes multiple channels of nominal growth rather than relying on any single business line. The balance sheet remains a fortress: a 15.5% Tier 1 capital ratio, \$25.8B loan-loss reserve (1.73% of loans), nonperforming assets of just 0.76% of loans, and book value per share of \$126.99, up 9.4% year-over-year. Principal competitors include Bank of America, Citigroup, Wells Fargo, Goldman Sachs, and Morgan Stanley; JPM out-earns each of them on ROE while holding the industry's largest deposit base.

Macro Backdrop & Industry Overview

ACCM's economic model underpins this selection. We project nominal GDP growth of approximately 5.2%, built from consumer spending growth of 5.2% (wage growth of 3.5%, ~1.0M jobs added, and a ~1.0pp drawdown in the household saving rate), business investment growth of 4.4% led by the AI and data-center capex cycle, government spending growth of 4.5%, and a narrowing trade deficit. Our inflation model — weighting labor costs (68%) and materials (32%) — yields a 3.4% inflation forecast, implying real growth of roughly 1.8 to 2.2% and unemployment contained at ~4.5%. Consistent with this, ACCM forecasts the 10-year Treasury at approximately 4.9%, above the Wall Street consensus of roughly 4.0–4.25%.

The market is migrating toward our view. The Fed has held the funds rate at 3.50–3.75% through its April 2026 meeting, with options markets pricing roughly a 30% probability of a hike by early 2027 rather than cuts. The 10-year yield ended May 2026 near 4.5% after touching 4.67% mid-month, and the 30-year pushed above 5.19% — its highest level since before the financial crisis. For large diversified banks, this higher-for-longer regime is constructive: asset yields reprice upward, deposit franchises with low-cost core funding (JPM: \$2.3T of core deposits) become more valuable, and strong nominal growth supports loan volumes, card spend, and capital-markets activity. The principal industry offsets are credit normalization — charge-offs rise as rates stay high — and deposit competition, both of which favor scale players with diversified fee income over monoline and regional lenders.

The AI infrastructure buildout is a distinct demand tailwind for wholesale banking. Hyperscalers, utilities, and data-center developers are funding hundreds of billions of dollars of capex through corporate loans, investment-grade bond issuance, project finance, and structured credit — products where JPM holds the #1 IB fee share. The 28% year-over-year growth in JPM's 1Q26 investment banking fees and record Markets revenue are early evidence of this financing cycle monetizing. The scale is now documented rather than estimated: capital expenditure at the five largest hyperscalers — Amazon, Microsoft, Alphabet, Meta and Oracle — totaled \$424.3B in calendar 2025, up 74.4% year over year, with the first quarter of 2026 running 90.8% above the prior year (company 10-K and 10-Q filings).

Financial Analysis

Key Metrics	2021	2022	2023	2024	2025	2026E	2027E
Net Revenue (\$mm)	121,649	129,531	158,384	177,800	182,510	198,587	206,317
Revenue Growth (%)	1.4	6.5	22.3	12.3	2.6	8.8	3.9
Diluted EPS, Adj. (\$)	15.47	12.38	16.68	20.02	20.14	22.42	23.60
EPS Growth (%)	68.7	-20.0	34.7	20.0	0.6	11.3	5.3
ROE (%)	18.4	14.0	17.4	18.4	16.7	17.2	17.0
Net Interest Margin (%)	1.67	2.07	2.70	2.65	2.55	—	—
Efficiency Ratio (%)	58.1	58.4	54.0	51.1	52.1	—	—
Provision for Credit Losses (\$mm)	(9,256)	6,389	9,320	10,678	14,212	13,414*	—
Dividends per Share (\$)	3.80	4.00	4.10	4.80	5.80	6.30	6.81
Payout to Shareholders (%)†	56.6	65.7	47.4	71.1	86.1	65.4	—

Source: Bloomberg (Bloomberg-adjusted figures), ACCM estimates. *Bloomberg LTM figure. †Dividends plus net buybacks as a % of operating net income (input to our DGM).

Revenue has compounded at a ~10.7% CAGR since 2021, driven first by the 2022–2023 rate-repricing cycle (NII rising from \$52.3B to \$95.4B between 2021 and 2025) and the First Republic acquisition, then by fee momentum in markets, cards, and asset management. Adjusted diluted EPS grew from \$15.47 to \$20.14 over the same period despite 2022's reserve-build trough, and consensus has EPS reaching \$22.42 in 2026 — a trajectory 1Q26 already supports, with EPS of \$5.94 (+17% y/y) on net revenue of \$49.9B (+10% y/y). Profitability is structurally superior to peers: ROE has averaged ~17% over five years, the efficiency ratio has improved from 58% to 52%, and ROTCE consistently exceeds 20%.

Two watch items temper the story. First, credit normalization is real: provisions rose to \$14.2B in 2025 and net charge-offs to \$9.8B, driven primarily by card seasoning; management added a further net reserve build in 1Q26. We view this as normalization rather than deterioration — the reserve stands at 1.73% of loans and NPAs remain below trend at 0.76%. Second, management guided FY2026 NII down modestly to ~\$103B and flagged elevated expense growth (technology and AI investment), the proximate cause of the spring pullback in the shares. Against that, capital return is accelerating: dividends per share have grown at an ~11% CAGR since 2021, and net payout to shareholders (dividends plus net buybacks) reached \$48.2B in 2025, or 86% of operating earnings, with \$34.6B of gross repurchases shrinking the share count 2–3% annually.

Valuation

Because JPM is a financial, we value it with a dividend growth model on total cash returned to shareholders rather than a free-cash-flow DCF. Our cost of equity of 8.88% comes from CAPM: a 4.45% 10-year Treasury, a 0.99 Bloomberg-adjusted beta, and Damodaran's 4.48% equity risk premium. For the growth rate we apply the standard convention that large banks grow with nominal GDP, proxied by the 10-year Treasury: $g = 4.45\%$. Note the conservatism — our own economic model puts nominal GDP growth at ~5.2% and the 10-year at 4.9%; using the lower g biases the valuation downward. Notably, because g is set equal to the risk-free rate, the capitalization spread reduces to $\text{Beta} \times \text{ERP}$ (~4.43%) regardless of the rate level — the valuation is essentially unchanged whether the 10-year sits at today's 4.45% or at ACCM's 4.9% forecast, so our target does not depend on the rate call being exactly right.

We define shareholder cash flow as dividends plus net buybacks. On Bloomberg consensus FY2026 operating net income of \$60.5B and the 2021–2025 average payout of 65.4%, JPM returns an estimated \$39.5B in 2026, or \$14.21 per diluted share. Capitalizing at $(K_e - g) = 4.43\%$ yields an intrinsic value of \$321 per share at the start of FY2026, which accretes at g to \$341.58 at June 1, 2027, twelve months past the purchase date. Against the \$299.31 purchase price, our \$342 target implies 14.1% price appreciation and a ~16% total return including the dividend. The market corroborates the discount: at 13.4x FY26E EPS, the stock has de-rated from the ~15x forward multiple it commanded at its January high, and its price-to-book

premium (2.4x) is justified by the wide spread between a ~17% ROE and an 8.9% cost of equity. Full model detail is provided in Appendix A.1.

Risk Assessment

Credit risk is the primary exposure: in a higher-for-longer world, card and commercial charge-offs could overshoot our normalization view, and provisions have already doubled since 2023. Rate path is a two-sided risk — an aggressive Fed cutting cycle would compress NII below the ~\$103B guide, while a hike-driven long-end spike could pressure loan demand, AOCI, and capital-markets sentiment. Regulatory capital (Basel III endgame, GSIB surcharges) could constrain buybacks, which carry roughly half our modeled shareholder payout. Expense growth guidance for 2026 already disappointed once; sustained negative operating leverage would erode the ROE premium. Finally, JPM carries succession risk around CEO Jamie Dimon and a valuation premium to peers that demands continued execution. We mitigate these through position sizing ($\leq 5\%$ of portfolio per policy) and the sell discipline below.

Sell Discipline

We will exit or trim the position if (1) the price reaches our \$342 target without a commensurate improvement in fundamentals, at which point the model is re-run and the thesis re-underwritten; (2) credit metrics breach our normalization thresholds — card net charge-offs sustained above ~4% or NPAs above 1.25% of loans; (3) the macro regime shifts to the recession/rapid-easing scenario that undercuts our nominal-growth thesis; or (4) the stock deviates more than 20% below purchase price absent a fundamental explanation, triggering a formal review under ACCM's deviation discipline.

Appendix A.1 – Dividend Growth Model

Cash Flow to Shareholders (\$mm)

	2021	2022	2023	2024	2025
Dividends Paid	12,858	13,562	13,463	14,783	16,625
Stock Repurchased	20,983	10,596	9,824	28,680	34,591
Stock Issued	(7,350)	0	0	(2,500)	(3,000)
Net CF to Shareholders	26,491	24,158	23,287	40,963	48,216
Operating Net Income	46,840	36,763	49,087	57,645	56,016
Payout Ratio (%)	56.6	65.7	47.4	71.1	86.1
Diluted Shares (mm)	3,026.6	2,970.0	2,943.1	2,879.0	2,781.5

Cost of Equity (CAPM)

10-Year Treasury (Rf)	4.45%
Beta (Bloomberg Adj.)	0.988
Equity Risk Premium (Damodaran)	4.48%
Cost of Equity (Ke)	8.88%

DGM Inputs & Output

Dividend Growth Rate (g)	4.45%
FY2026E Operating Net Income	\$60,486mm
Average Payout Ratio (2021–25)	65.4%
Net CF to Shareholders, FY26E	\$39,539mm
Net CF per Share, FY26E (D1)	\$14.21
DGM Value = $D1 / (Ke - g)$	\$321.15
Value at Target Date (12-mo fwd)	\$335.41
Price Target	\$335

Growth-rate note: consistent with the convention that large banks grow with nominal GDP, g is set to the 10-year Treasury rate (4.45%). ACCM's own forecasts (nominal GDP ~5.2%; 10-year at 4.9%) would imply a higher g; our assumption is deliberately conservative.

Source: Bloomberg, ACCM estimates.